



SCHOOL: BUSINESS, ECONOMICS AND MANAGEMENT SCIENCES

DEPARTMENT: BUSINESS AND MANAGEMENT SCIENCES

NAME: EVELYNE CHEPNGETICH

REG NO.: BBU/077/21

**PROJECT PROPOSAL ON THE IMPACT OF FORENSIC ACCOUNTING ON AN
ORGANISATION'S PERFORMANCE IN THE BANKING AND FINANCE SECTOR**

ABSTRACT

The financial landscape of the banking and finance sector faces increasing risks of fraud, misappropriation of funds, and non-compliance with regulatory requirements. Forensic accounting has emerged as a crucial tool in mitigating these challenges by integrating investigative and accounting skills. This proposal explores the impact of forensic accounting on the organizational performance of banks. It aims to assess how forensic accounting influences fraud detection, improves financial transparency, and enhances decision-making processes. By examining case studies and empirical data, this research will provide recommendations for integrating forensic accounting practices to strengthen operational efficiency and safeguard assets in financial institutions. The study will utilize qualitative and quantitative methods, including interviews, surveys, and financial data analysis from selected banks.

TABLE OF CONTENTS

1. Abstract
2. Introduction
3. Problem Statement
4. Objectives of the Study
5. Research Questions
6. Scope of the Study
7. Significance of the Study
8. Literature Review
9. Theoretical Framework
10. Research Methodology
11. Data Analysis Techniques
12. Ethical Considerations
13. Limitations of the Study
14. Timeline
15. Conclusion

1. INTRODUCTION

1.1 Background of the Study

The rise in financial crimes within the banking sector has become a significant concern globally. Banks and financial institutions handle vast amounts of money, making them prime targets for fraud and mismanagement. Traditional accounting practices often fall short of identifying and addressing complex financial irregularities. Forensic accounting, a specialized field that blends accounting, auditing, and investigative skills, offers a solution to this problem by uncovering financial misconduct and ensuring compliance with regulations.

1.2 Importance of Forensic Accounting in Banking

The role of forensic accountants extends beyond fraud detection; they also contribute to strategic decision-making, litigation support, and ensuring financial transparency. As financial regulations become stricter, the demand for forensic accounting services continues to grow. This research will explore how forensic accounting practices influence the overall performance of banks by reducing financial risks and improving operational efficiency.

2. PROBLEM STATEMENT

Fraud and financial misconduct have led to significant losses in the banking and finance sector. Despite the adoption of advanced technologies and internal control systems, many banks still face challenges in detecting and preventing financial crimes. Traditional accounting methods often fail to capture the complexity of fraudulent activities. This research seeks to address the question: How does forensic accounting impact the performance of banks in terms of fraud detection, compliance, and financial management?

3. OBJECTIVES OF THE STUDY

1. To examine the role of forensic accounting in detecting and preventing financial fraud in the banking sector.
2. To assess the impact of forensic accounting on financial transparency and operational efficiency.
3. To evaluate the challenges faced by banks in implementing forensic accounting practices.
4. To provide recommendations for improving forensic accounting practices in financial institutions.

4. RESEARCH QUESTIONS

1. How does forensic accounting help detect and prevent financial fraud in banks?
2. What is the relationship between forensic accounting and financial performance?
3. What are the challenges in implementing forensic accounting practices?
4. How can forensic accounting practices be improved in the banking sector?

5. SCOPE OF THE STUDY

This study will focus on the banks in the finance sector. The research will cover forensic accounting practices, fraud cases, and financial performance metrics.

6. SIGNIFICANCE OF THE STUDY.

6.1 For Banks

The study will provide insights into effective strategies for fraud detection and financial risk management.

6.2 For Regulatory Bodies

It will highlight the need for policy adjustments to support forensic accounting practices.

6.3 For Academia

This research will contribute to the growing body of literature on forensic accounting.

6.4 For Investors

The findings will help build confidence in the financial reporting practices of banks.

7. LITERATURE REVIEW

Forensic Accounting: Definition and History

Discuss the evolution of forensic accounting and its role in financial investigations.

Fraud and Financial Crimes in Banking

Provide statistics and examples of fraud cases in the banking and finance sector.

Discuss case studies where forensic accounting prevented financial losses.

Theoretical Framework

Fraud Triangle Theory

Agency Theory

Empirical Studies on Forensic Accounting

8. RESEARCH METHODOLOGY

Research Design

Descriptive and exploratory research design will be adopted.

Population and Sampling

The study will target [Specify Number] banks selected through purposive sampling.

Data Collection Methods

Primary Data: Structured questionnaires and interviews

Secondary Data: Financial reports and fraud investigation documents

Data Analysis Techniques

Descriptive statistics, regression analysis, and thematic analysis will be used.

9. ETHICAL CONSIDERATIONS.

Informed consent from participants

Confidentiality and data protection

Avoiding data manipulation

10. LIMITATIONS OF THE STUDY

Limited access to sensitive financial data

Potential respondent bias

Time constraints

11. TIMELINE

Activity	Duration
Introduction	3 days
Literature Review	2week
Data collection	1 week
Data Analysis	1 week

CONCLUSION

Forensic accounting plays a vital role in strengthening the financial management and fraud prevention capabilities of banks. This research will provide valuable insights into how forensic accounting can be integrated into banking operations to improve performance and maintain customer trust.